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More details emerge on how Windsurf's VCs and founders got paid from the Google deal

The revelation that Google paid Windsurf \$2.4 billion to license its technology, while simultaneously hiring away its CEO and top talent, the deal's implications are still rattling some founders and startup employees across Silicon Valley.

Google's payment to the startup was effectively split in two equal parts, according to two people familiar with the deal. Investors' portion was \$1.2 billion.

The other half was in the form of compensation packages for approximately 40 Windsurf employees hired by the tech giant with a substantial portion of that \$1.2 billion going to the startup's co-founders, Varun Mohan and Douglas Chen, sources say.

The transaction was a good outcome for VCs, which included Greenoaks, Kleiner Perkins, and General Catalyst. Windsurf raised a total of about \$243 million as of its last raise in 2024 that valued the company at \$1.25 billion, which means the total return to investors was about 4x their original funding.

Greenoaks, which led Windsurf's seed and Series A financings and owned 20% of the company, returned about \$500 million on their \$65 million investment in the startup, according to a person familiar with the matter. Kleiner Perkins, which led

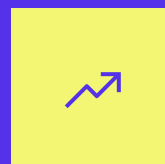
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Windsurf's Series B, returned about 3x its invested capital, according to another person familiar with the deal.

Google, Kleiner Perkins, and Greenoaks declined to comment. General Catalyst, Varun Mohan, and Douglas Chen didn't respond to a request for comment.

Even so, most investors were aiming for a more significant win from the company.

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In February, TechCrunch reported that Kleiner Perkins was in talks to lead a fresh round of funding, valuing the startup, which was then known as Codeium, at [\\$2.85 billion](#). That deal didn't happen, according to a person familiar with the matter, because Windsurf had instead agreed to be purchased by [OpenAI for \\$3 billion](#).

As we all know now, the OpenAI acquisition unraveled and [Google swooped in](#) with its deal

structured to offer investor returns and obtain talent and IP without acquiring stock.

But what's rattling the Valley is this: While Google's deal was good for the co-founders and VCs, it didn't benefit a large portion of Windsurf's approximately 250 employees, especially after they were expecting a payout from the sale to OpenAI.

In a typical acquisition, employees would get money for the shares they owned and would often have [their vesting schedule accelerated](#). However, Windsurf employees who were hired over the last year didn't receive a payout from the deal, these people said.

The Google deal was especially unsettling to approximately 200 Windsurf employees not hired by the search giant.

Instead of siphoning every penny of Google's payment into their own pockets, investors opted to leave the company with over \$100 million in capital.

One source says this was entirely funded by VCs, meaning their total payout was about \$1.1 billion. However, another person said that the founders equally chipped in to leave the company with a nest egg from the Google payment.

Multiple people said that the money left for the company would have been sufficient to pay all remaining employees proceeds at the Google deal's per-share valuation, regardless of how long they had been with the company. However, to have done that immediately would have been problematic, leaving the company with less cash to operate and — with founders and key people gone — with no investors ready to finance a new raise. The remaining leadership would likely have had to shut down after making such cash distributions, one of the people said. Meanwhile, another person

claimed that the company had enough capital to pay out employees and continue to operate.

That difference of opinion is only part of the reason the deal became so controversial.

What's more, at least some of the employees Google did hire, despite attractive pay and benefits, saw their stock grants revoked and their vesting timelines restarted. That meant they'd have to wait an additional four years for their total payout in Google stock, according to people familiar with the deal.

Some top VCs condemned the 3-year-old startup's co-founders for not sharing their windfall with all the people who helped build the company.

"Windsurf and others are really bad examples of founders leaving their teams behind and not even sharing the proceeds with their team," wrote [Vinod Khosla on X](#). "I definitely would not work with their founders next time."

After several days of limbo following the announcement of the Google deal, Windsurf's remaining entity, under the leadership of interim CEO Jeff Wang, managed to sell itself to Cognition.

Cognition acquired Windsurf's IP and product and brought on all staff not hired by Google.

While the exact deal terms of that sale were not disclosed, the acquisition allowed every employee to financially gain from the sale, according to a [blog published by Cognition](#).

Two other sources estimated to TechCrunch that Cognition paid \$250 million to acquire Windsurf's remaining entity.

Cognition didn't respond to a request for comment.



Marina Temkin
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Cognition, maker of the AI coding agent Devin, acquires Windsurf



[Cognition](#), the startup behind the viral [AI coding agent Devin](#), announced in a [blog post](#) on Monday that it has signed a definitive agreement to acquire [AI coding startup Windsurf](#).

The announcement comes just days after [Google hired away Windsurf's CEO](#) Varun Mohan, co-founder Douglas Chen, and research leaders in a \$2.4 billion reverse-acqui-hire that left much of the startup's 250-person team behind. Google's deal occurred just hours after OpenAI's \$3 billion offer to acquire Windsurf expired, clearing the way for the AI coding startup to explore other options.

The frenzy around Windsurf represents a new peak in the wild race to develop AI coding tools — specifically, the AI-powered integrated development environments (IDEs) that Cursor and Windsurf offer. In recent months, the businesses around AI-powered IDEs have skyrocketed, pushing Cursor's annualized recurring revenue (ARR) to \$500 million. While Windsurf's business is smaller than Cursor's, it has achieved impressive growth in the last year, garnering interest from several larger companies.

"The last 72 hours have been the wildest rollercoaster ride of my career," said Jeff Wang, Windsurf's former head of business, who was made interim CEO of the startup days ago after Google hired the startup's leaders, in a [post](#) on LinkedIn. "To our new teammates at Cognition: we at Windsurf feel incredibly lucky to be joining a team that shares our vision, our deep commitment to our users, and — most importantly — our values."

IMAGE CREDITS: COGNITION

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Cognition says it’s acquiring Windsurf’s IP and product, which include its AI-powered IDE, alongside all of the employees who were not hired by Google.

Cognition did not announce the price it acquired Windsurf for; however, the company says Windsurf reached \$82 million in ARR, with enterprise ARR doubling quarter-over-quarter. Cognition says Windsurf’s user base reached at least 350 enterprise customers and “hundreds of thousands” of daily active users.

In the near term, Windsurf’s team will continue working on its AI-powered IDE, while Cognition works on its AI coding agent, Devin, the companies said in a press release. Eventually, Cognition says it will integrate Windsurf’s IP and capabilities into its own products.

TechCrunch reported in April that [Windsurf’s ARR had reached \\$100 million](#) at one point. However, Anthropic — which offers some of the most popular AI models for coding tasks — cut Windsurf’s direct access to its Claude AI models in June, with [Anthropic co-founder Jared Kaplan attributing the decision to rumors](#) that OpenAI, its largest competitor, was close to acquiring Windsurf. Several Windsurf customers told TechCrunch [they switched to other services that offered Claude AI models](#), such as Cursor, in light of the incident.

Cognition notes in its press release that Windsurf will now have full access to Claude AI models once again.

Over the weekend, The Information reported that Windsurf employees who had joined in the last year [did not receive a payout in Google’s billion-dollar reverse-acquihire](#). That prompted many users on social media to scoff at the deal, which seemed to largely benefit investors and leaders at the startup.

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Cognition president Russell Kaplan indicated in a [post on X](#) that the Windsurf acquisition truly came together over the weekend, just hours after the Google deal was made public. He noted that the first call was made after 5 p.m. on Friday and that an agreement was signed Monday morning.

Incredibly excited to share that Cognition is acquiring Windsurf. What an insane weekend – from first call after 5pm on Friday to a signed definitive agreement this morning. There’s a lot to build! <https://t.co/UxwOG3QHVG>

— Russell Kaplan (@russelljkaplan) [July 14, 2025](#)

Cognition notes in its blog post that 100% of Windsurf employees will participate financially in this deal and have vesting cliffs waived for their work to date.

With the addition of Windsurf’s talent and IP, Cognition may have a supercharged startup to compete with giants in the AI coding space, such as OpenAI, Anthropic, and Cursor. In March, Cognition reportedly held talks to [raise hundreds of millions of dollars at a \\$4 billion valuation](#). It’s unclear if the round closed, but Cognition may need such a war chest to compete in the AI coding space.

Cognition was one of the first AI startups to launch a fully fledged AI coding agent, Devin, which didn’t just help with tasks, but also promised to automate them completely as if it were a junior software engineer. This was a markedly bold approach compared to Cursor and Windsurf, which offered environments for developers to easily access AI tools. However, early reviews found that [Devin](#)

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coding agents and an AI-powered IDE, perhaps enhancing its value proposition. Earlier this week, Cognition also landed a major customer in the [Wall Street juggernaut Goldman Sachs](#).

With the acquisition of Windsurf, it seems Cognition has become a more serious competitor in the AI coding space.

Update: A previous version of this article misstated what Windsurf's team will be doing at Cognition in the near term. This article was updated on July 14 to note that Windsurf's team will continue its normal work for now, and will eventually integrate its products into Cognition's offerings. We regret the error.

Topics: [AI](#) [ai coding](#) [cognition](#) [Windsurf](#)



Maxwell Zeff

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Maxwell Zeff is a senior reporter at TechCrunch specializing in AI. Previously with Gizmodo, Bloomberg,...

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Three weeks after acquiring Windsurf, Cognition offers staff the exit door

Rebecca Bellan — 8:24 AM PDT · August 5, 2025

Cognition, the AI coding startup that acquired rival company Windsurf three weeks ago, laid off 30 employees last week and is offering buyouts to the roughly 200 remaining employees on the team, [reports The Information](#).

This is the latest bout of whiplash that Windsurf employees have faced after a tumultuous stretch for the company. The startup was initially almost acquired by OpenAI, then lost its [CEO, co-founder, and research leads to Google](#) in a \$2.4 billion deal known as a reverse-acquihire (where Google hired the key talent rather than buying the company), before ultimately getting [acquired by Cognition](#).

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At the time of the acquisition, Cognition stated that 100% of Windsurf employees would receive financial compensation as part of the deal and [stressed](#) that the company was excited to bring on Windsurf's "world-class people" to develop top-notch coding tools.

Now, it's becoming clear that Windsurf's intellectual property, not its talent, was the real buy.

According to an email The Information viewed, employees were given until August 10 to decide whether they want to take the buyout, which amounts to nine months of salary. Those who choose to stay are reportedly required to spend six days at the office and clock more than 80-hour weeks — draconian conditions that have become [table stakes among workers at top AI firms](#).

"We don't believe in work-life balance—building the future of software engineering is a mission we all care so deeply about that we couldn't possibly separate the two," wrote Cognition CEO Scott Wu in the email.

TechCrunch has reached out to Cognition for more details.

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Rebecca Bellan is a senior reporter at TechCrunch, where she covers Tesla and Elon Musk's broader empire,...

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Windsurf CEO opens up about ‘very bleak’ mood before Cognition deal

Anthony Ha — 10:20 AM PDT · July 19, 2025

Days after AI coding startup Windsurf announced that it's being [acquired by Cognition](#), Windsurf exec Jeff Wang [took to X](#) to offer more details about the drama and uncertainty around the deal.

IMAGE CREDITS: COGNITION

Windsurf was previously reported to be in [acquisition talks with OpenAI](#), but that deal fell apart, with [Google DeepMind instead hiring the startup's CEO Varun Mohan](#), co-founder Douglas Chen, and some of its top researchers. Google would reportedly license Windsurf's technology as part of the \$2.4 billion deal — but not take an equity stake in the company.

This looked like the latest in [the trend of “reverse acqui-hires,”](#) in which large tech companies seek to avoid antitrust scrutiny by hiring key startup team members and licensing their technology, rather than acquiring startups outright.

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But what happens to the startups and the employees who get left behind? As we discussed on [the latest episode of Equity](#), one startup founder compared the departing Windsurf executives to a captain abandoning his crew on a sinking ship.

Wang, who had been Windsurf's head of business, became the company's interim CEO after Mohan's departure. In his post on X, he offered some sympathy to Mohan and Chen, who he described as "great founders" in a situation that "must have been difficult for them as well."

Still, Wang recounted an all-hands meeting on Friday, June 11, where most team members were expecting to hear about the OpenAI acquisition. Instead, he had to share the news about the Google deal and resulting departures.

"The mood was very bleak," Wang said. "Some people were upset about financial outcomes or colleagues leaving, while others were worried about the future. A few were in tears, and the Q&A had been understandably hostile."

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In Wang's view, although the company "had lost some great people and taken a serious blow to morale," it still had "all of our IP, product, and strong talent including an excellent [go-to-market] machine." So Windsurf could still try to raise more money, sell, or just keep going.

That evening, however, Wang heard from Cognition executives Scott Wu and Russell Kaplan, and he said Windsurf leadership "took the Cognition approach very seriously from the start and launched right into negotiations." In his telling, what followed was a frantic weekend of discussions with Cognition, while considering inbound interest from other potential acquirers and meeting with Windsurf's remaining engineers to convince them not to leave. (And as all that was happening, "the timeline was exploding with memes and commentary.")

The two companies are a good fit, Wang argued, in part because of complementary teams.

"While [Cognition] had overinvested in engineering, they had frankly underinvested in GTM and Marketing, and our teams in those functions are nothing short of world class," he said. "On the other hand, we now were missing a Core Engineering team, and there's no better group of AI engineers than the lineup Cognition has assembled."

Plus, Wang said he and Wu (pictured together above) were aligned on the need to "take care of all Windsurf employees."

"That resulted in a key part of the deal: structuring it to give a payout to every employee, to waive all cliffs, and to accelerate all vesting for Windsurf equity," he said.

The acquisition agreement was apparently signed at 9:30 am on Monday morning, announced to the team shortly afterwards at another all-hands, then [announced to the public](#) shortly after that.

In [an interview with Bloomberg](#), Wang described that Friday all-hands as “probably the worst day of 250 people’s lives,” followed Monday by “probably the best day.”

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Anthony Ha



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